

23-Nov-2023

ROCKWOOL A/S (ROCK.B.DK)

Q3 2023 Earnings Call

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MANAGEMENT DISCUSSION SECTION

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Hello to everybody and welcome to ROCKWOOL A/S Conference Call regarding the First Nine Months of 2023. My name is Kim Junge Andersen, I'm the CFO of ROCKWOOL A/S. Today, I'm pleased to present CEO, Jens Birgersson.

For the first part of this call, all participants will be in a listen-only mode. As a reminder, this conference call is being recorded. First, Jens Birgersson will go through our presentation and give an update on the results for the first nine months and the third quarter of 2023. After which, we will be ready to answer all your questions.

Before I hand over the word to Jens Birgersson, I must ask you to notice slide number 2, which is the forward-looking statement. Please be aware that this presentation contains uncertainties.

Now, we can go to slide 3, which is the next. Jens Birgersson, I will now hand over the word to you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Thank you, Kim. Thank you, Kim. Let's skip the year-to-date slide and move to slide 4, focus on the quarter.

So good morning, everyone. Looking at this quarter, we had quite challenging market conditions, especially in Europe, particularly a few big markets, but the quarter came in quite well. So if you start with the top line, €903 million, down 4%, and that slight reduction of the top line versus last year, which of course wasn't a super difficult comparable, but nevertheless, it also includes a five-week strike that we had in – we had a longer strike, but five weeks of it was in Q3. That has also impacted some of our sales in North America. So I'm quite happy with the top line. And compared to the gap to the previous year, Q2 and Q3, certainly it was more level than not so dramatically down.

Moving down to the EBIT, last year, we had the energy crisis and the extreme high energy prices and also slowdown in the business, and that together put us down very – in single-digit margin. And it's good to see that we have doubled the EBIT this year and we have reestablished a healthy Q3 margin.

Going down to free cash flow, here the highlight is that we – in spite of pulling down capacity, we did that during last autumn. I will come back to that a little bit more. I mentioned it already, but we reduced capacity quite quickly during last autumn in anticipation on this new level of business. And at the same time, we have drawn down inventory. So I'm happy to see that the cash flow and the net working capital has come out as fine as it did in the quarter.

Let's move to slide 6. From a growth perspective, we don't need to say much about this slide. Roughly 4% decline in both the Systems business and Insulation business, slightly lower growth in Systems and that is primarily mainly due to that – the growth on business have a delayed order cycle this year. We have a big order intake and big deliveries to be done in Q4, and that's a little bit later than normal. Apart from that, both businesses have grown with roughly the same rate.

Slide 7, the regional sales development, starting with Western Europe, down 9%. Here, if you start with the highlights, because not everything was down, Spain and UK double-digit up. It's a quite healthy business, have recovered well. France, flattish, a little bit positive. And then we have a lot of markets in Western Europe that are down quite a lot.

So starting in the Nordics, Denmark, Sweden, Finland – in some respect Norway, too – a little bit better, but big declines. You see a massive drop in building permits and housing starts. Moving south, Germany down some 30%, 40% on building starts and permits. And then if we go east into Poland, that's also quite negative. So Germany, the Nordics and the other countries, a little bit up and down.

And there are also some highlights in Eastern Europe [indiscernible] (00:05:40). But in aggregate, if you look at Eastern Europe, some markets are down quite a lot like Poland, while on average, it works out a flattish business. So you could say the steep decline on average has stopped a little bit, but it's very, very scattered. In Croatia, growing. Romania has recovered. Hungary has stopped to shrink so fast. So very scattered picture.

Then moving on to North America and Asia. There, I would said that a lot of positive signs. China, stable declining. But looking into, say, Thailand, Malaysia, India, good solid growth. North America, Canada and the US both growing. And it should be said that if we wouldn't have had the strike in Canada in one of our factories, North America and Asia, altogether, would have been double digit. So the business is back and is looking quite good going forward also.

Some of the strike really impact Q4, too. It's over now. It's over now, but it will have a limited impact on Q4.

We move on to slide 8. When we look at that big improvement, the doubling of the EBIT and the big improvement of EBITDA, we need to remember that it's an easy comparable because Q3 was really a bad quarter last year with the energy crisis. That said, the margin we have achieved now is quite healthy and is actually among our highest margin we have had if you look historically. It's not the highest margin, but it's a high margin.

And how could we achieve that in a market that is shrinking still? A couple of aspects. First of all, we have not done any stupid energy hedges when the energy prices were down. We have also made a couple of deals on electricity – France, Norway, Spain, Romania – where we have kind of got energy deals that are much more favorable than before. So energy impact, we still see an underlying inflation.

Then on the prices, we have – outside Europe, we have continued to raise prices. And in Europe, we have basically balanced prices with market share and cost position and done – managed through kind of keep them relatively stable.

There are segments where we have lowered prices in certain market, but there are also segments where prices have been maintained or slightly increased. Depends a little bit what you compare with average last year or year-end, etcetera. It has a lot of dynamics, but we have really, really worked a lot on price and volume, and engaging with our customers.

And then, you can also see, if you go into the P&L, that the cost control is not perfect. We have not gone super dramatic in terms of cost reduction in relation to the volume reduction. But we have been on top of costs, and a lot of the capacity reductions we have reduced almost. And it's not all permanent employees, but almost 800 jobs that we did in the manufacturing in last autumn. So, we reacted early and we have the flexibility in the system. So, that has been done, that has helped.

But then, we have generally been quite restrictive on cost and we haven't gone extreme. We haven't reduced into the muscle of the company. Our strategy is to control cost, keep them as low as we can, not go overboard, and then try to navigate through also next year. And then, hopefully, the market will be back up after that.

If we continue to slide 9, profitability per business segment. Nothing really different there, both Systems and Insulation has recovered compared to last year, and the explanation is the same in both businesses. So, I've already explained the reasons for that.

Let's flip to slide 10, investments. We did invest in the quarter, €90 million. The biggest one in the quarter in terms of money is the new paint line for our Rockpanel business. That's in the Netherlands. We are commissioning that now. And some of the impact why that CapEx is not higher is that we haven't really started the French project. So, if we would have had the French project, that number should have been a little bit bigger, but still maintained. And we haven't taken a lot of action consciously stopping CapEx. We continue with the green CapEx on the capacity expansion and the maintenance CapEx on a sensible level. But, of course, there could be some capacity expansions now in Europe that we can delay a little bit.

That said, the factory in France that has been delayed due to delayed approvals, slide 11, we have had some good progress on that. So, we had a court order that lifted the suspension on the building permit. We still wait for a final ruling. We have an okay to start building, but it's on our own risk. So, we will wait until Q1 when we have the final ruling. But we have started some lighter construction work on site, putting up fence and just doing the basic preparations.

We, at the moment, feel quite confident that the final ruling will be executed in Q1. There is a challenge with the French legal system that deadlines are not so clear, are not so defined, response times are not so defined. But anyhow, when you have this suspension, this temporary suspension that you can start, they normally only give that when they feel very, very sure that the final ruling will be the same.

And when we look at the type of issues that are left now are smaller things like the color of the buildings, the height of one building that is still lower than the highest building, and also counted the number of trees on the site. And we have enough trees, but there were some errors in the drawing, so smaller things. We are optimistic that that should be sorted out during Q1 so we really can start.

If we move to slide 12, the cash flow, you see almost a tripling of the cash flow. So, if you look at that €120 million improvement that is there, basically €80 million of that comes from improved profits, improved earnings, and the rest come from net working capital reduction, and almost all of it is from lower inventories. And I'm happy about that, because when we drew down capacity, we have been very quick at making sure that we don't sit on too much stock. So, that's the way we like to do it when we reduce output.

Going on to slide 14 and outlook. We have changed that a little bit now. The sales for the full year maybe of two months plus the December. I want to remind you that December is a weather month and it's also a month we don't know if it's going to snow or not. So, we have done a medium forecast compared to previous Decembers in our outlook. But if you look at that year-to-date sales is lower than this number, you also see that we actually forecast that we're going to grow in Q4, which is a good news.

On the EBIT, we have now guided at 14%. I would like to say that that guidance with the assumptions we have is that we – our best guess at the moment is – or our forecast is we're going to hit 14%. But then there are risks. We are at, year-to-date, 14.3%, but we have the December in this quarter, plus that Q4, normally, is a lower profit month than Q3. That is very high season. So, with the December and two good months before that, we should land on 14%.

And what could make bigger than 14% and what could make it smaller than 14%? Basically it's the normal plus/minus, heavy snowfall that would shut down building sites in December, in the low December. The other risky aspect we always see when we have this, in a slow market environment, there could be countries that completely shut down construction for two or three or even four weeks in December. And depending, if that happens, we have seen it back in 2014 in Germany – I always use that example – and then everything comes to a stop. So, those factors would then determine whether we are a little bit above 14%, spot-on 14%, or a little bit below, but the forecast is 14%. So, I almost call this a forecast now. And then, the investment, no comment to that.

With that, I would like to hand over to questions.

QUESTION AND ANSWER SECTION

Operator: Ladies and gentlemen, at this time, we will begin the question-and-answer session. [Operator Instructions] The first question comes from the line of Brijesh Siya with HSBC. Please go ahead.

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

Hi, Jens. Good morning. I have two questions. The first one is on volume. It's two parts. The first is a little clarification. You talked about volume being sequentially up in the last two quarters and Q3 has been the highest. But when I see the absolute revenue, it's down versus Q2. Can you just explain if there is a vertical mix impact?

And the second one – or the supplementary to it that when you say that the volumes are kind of – in your statement, you talk about Europe remains weak. So, should we assume or think that, at this point in time it looks like overall demand in Europe will be down next year?

Then the second question is on pricing. You said that the underlying inflation is still there. And so, what's the kind of magnitude of inflation you are seeing at this point in time? And in relation to that, whether you have announced any price increases starting 1st of January 2024? Thank you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

What was that last bit, Brijesh, after inflation?

Brijesh Kumar Siya

Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.

Q

I was asking whether you have announced any price increases starting 1st of January?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Okay. So, let's start with the inflation question. So, we basically see the main driver for inflation is – the core inflation is still there. And I think we have – and there is still an inflation in all our geographies, although energy prices are down but on a high level. But what I expect we will see during the spring is the salary. The salary inflation is the main one because you still have this real wage gap that has happened in North America and US. And part of the reason why we have that strike in one of our factories in the US was that the autoworkers went for a very big ask. And when one of our factories saw that, they went for the same – almost the same big ask, which we simply cannot afford in the business. So, it took a while to agree on the level that we could live with in the business side.

So, I think the inflation will still be there, and I don't think it will come away, although you see maybe a slightly lower in the beginning of the year in Europe, and then it will catch speed when the salaries start to kick in in March, April, May, whatever the cycle is in the companies.

Then on the volume, I'm not sure now if you look at nominal numbers or whether you look at the budget numbers, because we are down 4%. We are little bit more down in volume. But actually, the volumes are stabilizing on roughly similar levels between the quarters. So, that's what we see. But then, of course, we have this – when

Grodan jumps into Q4, they have all different volumes per revenue. But on average in the business, you can see that we have had two relatively stable quarter with improved volumes and a slight growth in Europe in several markets.

So, volumes are improving, but it's – and, of course, in North America and Asia, it's a trend. It doesn't look to be interrupted. But here in Europe, I think it's too early to conclude. I still think, at this stage, that's my assumption. But again, we're going to get to February before we're going to guide for next year. With what's going on in Germany, I still believe there is more factors that speaks for Europe worsening than improving. So, we could see a volume drop into next year. But I'm just saying that that's one pessimistic scenario, because I have no proof that we have turned a quarter, although volumes in the last two months are a little bit promising, okay?

Brijesh Kumar Siya*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

Just on the pricing, would you clarify that whether you have announced any price increases [indiscernible] (00:22:27)?

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

We have done price increases, announced price increases in several markets where we have growth. But then, generally, we haven't gone out with – there are some countries in Europe where we have announced small price increases. But, generally, we haven't done that yet. And then, obviously, in North America, Canada, Asia, you have a different dynamic. So, not much announced yet. But, for sure, there are several businesses that have announced, but not so much in Europe.

Brijesh Kumar Siya*Analyst, HSBC Securities & Capital Markets (India) Pvt Ltd.*

All right. Thank you.

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

Yeah. I should say the UK has, for example, announced price increases, to give one example, where we've done it.

Operator: The next question comes from the line of Kristian Tornøe with SEB. Please go ahead.

Kristian Tornøe Johansen*Analyst, Skandinaviska Enskilda Banken AB*

Yes. Thank you. A couple of questions for me. I will do them one by one. So, firstly, to your guidance, so the implicit Q4 guidance. So, if I take the growth range, the decline of 4% to 5% and then I apply the same gross margin and fixed cost level in Q4 estimates as we just recorded for Q3, I get to a significantly higher EBIT margin than the 40% you're guiding for. So, is it correctly assumed that you are including a lower gross margin and/or a higher fixed cost base in your Q4 estimates? And in that case, why?

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

Kristian, your logic is perfect for October and November. And then, December is a month where we see everything in between, a breakeven or not. That happens every year. So, your logic as such holds for two months. And then, we have December, which is just a totally different month in our business.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

And when you say totally different, it means potentially much lower gross margin in December?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. Yeah. We can sit with some, yes, with two weeks without production. So, when you stop the business because we will not – depending on our inventory outlook. Making inventory doesn't really help us that much, but it makes a difference whether we shut down the factories because we feel we have the seasonal stock whether we run it. And that decision we always need to navigate that. Some years you can have the market go down. So, we could shut two weeks, but we still run because we want to run up some stock. And this is just highly erratic, and we need to really look at it to make the decisions in December when we see the weather and the market and outlook and all the rest.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Understood. And then, just specifically on the UK, so you're sort of highlighting double-digit growth. Looking at the overall construction market, that's definitely not increasing by double digits, quite on the contrary. So, can you just elaborate a bit on your success in UK and how sustainable they are?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. I think we were a bit taken by surprise. We drew down capacity in the UK. And then, when then the market jumped back up, because the UK is not as bad, in general, as Germany and Poland and some other markets. So, when we then realized that the market was coming back or stabilizing much quicker than the others, we had a bit of a backlog. So, we needed to ramp up the shifts, and that took us some time. So, that left a bit of backlog on the sales. We had to work back and bring down the delivery times, and we are not quite through that yet. So, that has meant we have basically as much as we produce, we could sell.

But, generally, in the UK, I mean, UK is a big market. And now, there are certain segments where people clearly want a noncombustible product. There are these replacement products. There's the high buildings, hospitals, school, but we see noncombustible being the way to go. And also, in some segments where people say, better safe than sorry. I mean, the price difference is small to use another material.

So, we see a shift in sentiment that has really happened and seem now to be more ingrained. So, I would say stone wool has gained in appreciation versus certain other products than the combustible one on Systems segment. And as I see it, it now looks to be permanent.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Okay. Quite interesting. And then, my last question, you haven't really talked about renovation, so just your thoughts on demands within the renovation segment and whether you are any more optimistic or pessimistic for that outlook into 2024 compared to a few months ago?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

I mean, yeah, we look at this energy performance building directive that we believe is not watered down without largely the compulsory elements. Some of them have now been handed over. And you are empowering the local countries instead, which means it's not the same thing. So, I think in the new year, we will see what really comes out of that. But what I see across Europe – I read somewhere that the EU is missing the CO2 reduction goal by 2030 with what, 50%. So, instead of reducing, it's increasing.

So, what I – and maybe I'm too pessimistic. But what I see with this wars going on and all the geopolitical tension, for me, it pretty much looks that there are very few politicians at the moment that worry about this. And therefore, yes, we see good progress in some countries. But, overall, it seems that this moved lower down on the agenda. Now, everyone is gearing up to go to COP28 again, and empty words so nothing will happen. So, I'm a little bit skeptical about the whole push and conviction from political level to put some serious money into that to make it happen.

That said, there are exceptions. We see France starting to move. Germany have a scheme or several schemes. But when we read it, we just maybe conclude it looks a bit complicated. At least, if I wanted to renovate my house, I would know what to do with that. So, I'm pessimistic. I think green has slipped and that we need to wait a bit more before we see someone really wake up on the green agenda again. And that's why I don't believe at the moment we see a broad-based green push on renovation.

That said, If the economy goes even worst, then it would be quite smart by some of those governments to grab hold of it and get it started. Italy showed how it's done, and it can be done, but they need to do something and not just ignore it.

Kristian Tornøe Johansen

Analyst, Skandinaviska Enskilda Banken AB

Q

Understood. Thank you so much.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Thanks.

Operator: The next question comes from the line of George Speak with BNP Paribas Exane. Please go ahead.

George Speak

Analyst, BNP Paribas Exane

Q

Hi, gentlemen. Thanks for taking my questions. I'll just take two. So, we talked a bit about hedging of gas and electricity. But my understanding is you're still about 50% of your energy exposures to coking coal, which has risen sharply since Q2. So, could you just give us a bit of an indication on how that's impacting your margins and pricing strategy into Q4 and into 2024?

And then, my second question was just trying to understand your comments on Eastern Europe, your opening remarks. You sounded quite cautious or quite bearish on the region. But your top line currency growth in – so top line growth in local currency has been only minus 2%. So, could you just help us square that up? What's offsetting the weakness that you talked about in Poland? A bit of a color there would be helpful.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Okay. I'm going to give the hedging on that to Kim, but I can take the other question first. So, if you go into Poland and Eastern Europe – just going to look at my cheat – basically small countries is doing better than big countries in Eastern Europe, that's the pattern we see.

And looking into Poland, it's very typical with Poland. When you have a decline, first, you have a – or at least we have seen it several times before. When you have a decline in the market sentiments, it totally stops. The workout inventory and all the rest, they are overstocked. I think we are actually already through that. And then, we have quarters that jump a little bit up and down. But now we have seen Poland for a while be down on housing starts and also in the commercial sector. Maybe the commercial sector with the logistics center, the manufacturing and all that, some of those projects have just been delayed. And my assumption at the moment is that that will continue for a while.

Then, yes, Romania are back to the insulating again. Hungary are around this year are up and down, jumping a little bit between the quarter. But Poland to me it looks like those investments going into Poland are not there at the moment and the building starts are not there and the raw material prices also impact the demand. And therefore, I think, for now my assumption is we stay on this lower capacity utilization and wait to see an improvement. And if that takes one quarter or five quarters, I just cannot tell. The steep decline from the current level though seems to have stopped at the moment, that I should say.

Over to Kim on the hedging.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Yeah. Thank you. For the hedging part, as Jens said, this year we have entered into some of these direct operator contracts that has helped us quite a lot in France, Norway, Spain, and Romania on electricity. For the other countries, we have done more or less a 50% hedging for the second half of the year. That includes Q4 for both electricity and gas. So, there we are covered about half and then we go to the market for the remaining part.

On the coke, which is still our primary energy source, we have seen, during the year, small declining costs even though now coke prices are coming up a bit. We did do a – this coke price activity agreed each quarter, but we have long-term supply agreements in place. But these long-term supply agreements felt it was time to renegotiate those here in the second half of this year, and we have been negotiating this. And including those renegotiation, we have already fixed the Q1 cost for coke next year at a lower cost than what we have seen in today's market.

So, for Q1 next year we have still these two or three years long-term contract in France and Norway. We have hedged 50% of the electricity in other countries and 50% of the gas. And now we have a fixed price of foundry coke for Q1. That's as long as we have gone. We haven't decided yet what to do for the remaining part of the year on the general consumption of gas and electricity.

George Speak

Analyst, BNP Paribas Exane

Q

Great. Thank you.

Operator: The next question comes from the line of Yuri Serov with Redburn Atlantic. Please go ahead.

Yuri Serov

Analyst, Redburn Atlantic

Q

Yes. Good morning. Two questions, if I may. I'll ask them one by one. So, the first one is the same that I asked you last time on the conference call at Q2. We are going through a recession year, big volume declines, and you are achieving a margin of 14% now rather than 13% that you've gotten last time. Your long-term aspiration, as stated, is 13%. Surely, the results that we're seeing this year suggested you should have adjusted upwards, don't you think?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

It's a good question, Yuri. And, of course, we would like – considering how expensive new factories are to build, it would not be bad to have a higher margin, but there's so many aspects going forward. And whenever we have a massive change in a quarter or in a year where we need to adjust capacity, big, up, or down, or something happening with energy prices, and then margins will be impacted because we can't do it in zero time and at zero cost.

The other aspect is that what will be important for next year and going forward is that we are on a volume level now where we certainly have reduced our capacity to match our market share. If the volume now continue down, it's always hard to predict what the competitive environment will be, and we need to balance these things. So, I mean, yes, this quarter comes out nice, but we came into it without having to restructure or change capacity, and we have done the price work. So, too early for me to guide and say this is the new level.

We have recovered from last year's horror quarter, but we knew why it was a horror quarter. We had all these energy costs. So, I'm not able, at this stage, to say what a normal level is. We stick to our old kind of ambition levels, and then of course we try to improve on that. But we haven't guided or committed to deliver on that level.

Second question?

Yuri Serov

Analyst, Redburn Atlantic

Q

Okay. Well, listen, I suppose I'll come back to this in the future because we're talking about long term, and long term this industry is going to be delivering growth and competitive situation is a question mark obviously. But I'm not asking about specifically next year or the year after. It's more ongoing.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah.

Yuri Serov

Analyst, Redburn Atlantic

Q

But I can understand where you're coming from.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. And, Yuri, you have a good point. I mean, if the green agenda gets going and you get a bit of a pull in the market, so that you know that the next 10 years we're going to do all this renovation, it's less than 1% and

whatever and you need to do 3% or whatever now that your goal will be for CO2, but it needs to triple or something like that. If that happens, of course, and we are reasonably good in that segment, then it's of course much easier to take actions and optimize and do the rest when you have a underlying pull in the market. Because, traditionally, if you look over the last eight, nine years, we have been quite good at raising productivity in the business. We haven't really increased head count.

We are working on automating our factories. We work on a number of technologies that will – if we get a bit of growth into the system, we should be able to raise productivity, because not all of margin improvements in our world comes from price. It needs to come also from us becoming more competitive. But it's so much easier to do that if you don't have these margins jumping up and down 15%, 20% – markets jumping up 15%, 20% and we need to optimize the network all the time. So, a bit of peace and quiet and a calm growth in the business would make that a lot easier to firm in on the margin target.

Yuri Serov*Analyst, Redburn Atlantic*

Q

Okay. Sounds good. The second question is about volumes and specifically about the UK and the US. You already talked about the UK. What I'm curious to hear from you is if you can give us your assessment as to by how much you are outperforming the overall market performance in Insulation in these two countries in percentage points. In the UK, you said that you have a growth of double digits. I mean, I suppose that the market – and you said that you are outperforming the market, but I'm just curious by how much, and similarly in the US.

Jens Birgersson*President & Chief Executive Officer, ROCKWOOL A/S*

A

I mean, I don't want to comment on details there, and I don't even bring the details. But if you look in North America, in Canada, we more or less have the market, so growth is just in line with the market. And it's not really growing as a proportion of the whole market. So, it follows the market.

And then, in the US, we have now another factory that we are ramping up. We are not on full capacity yet. We still have capacity in the US, but stone wool share is a couple of percentage of the total insulation market. And there, there are going to be a conversion, so that we eat into it, but we're talking in relation to the overall market that is huge.

When we move from 2% to 2.5% to 3% to 3.5% to 4%, it's very, very little of the total market. And since the market is growing, it doesn't translate into less volume for the other materials. It's just that our share of the growth is proportionally a little bit bigger. So, that keeps going on and that means that we will need more capacity in the US, because I see we have the fundamentals in play. Now, we have capacity, but this will go on and we will need to investing.

In the UK, I can't really give a number on it. But it has been – I think, the last two, three years has been quite dramatic because there has been a complete shift in certain segments. And when you can move in a segment – high rises, semi-high rises, school, etcetera, then of course we see quite a few tons of business. So, that's going on. And I think there is still refurb projects, quite a few of them, but we are the only product.

So, this is not either a normal market, just something that happens now because you are fixing past mistakes. It's very hard to say in the market how much we are growing. But I wouldn't expect at the end that UK would be any different to our other markets. Maybe 14%, 15% of the market will be stone wool and we would get there. But now it's in a transition into that state. So, slight gains, I would call it, but not super dramatic.

Yuri Serov

Analyst, Redburn Atlantic

Thank you.

Q

Operator: The next question comes from the line of Yves Bromehead with Société Générale. Please go ahead.

Yves Bromehead

Analyst, Société Générale

Hi. Good morning, everyone. Thanks for taking my question. Just the first one, I'm really sorry, but I did not understand what you said in the US, you talked about five weeks of what? Was it maintenance CapEx where you were down for five weeks? Is that what you said?

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

No, no. Good morning, Yves. No, no. When that autoworker strike started in – was it Detroit? – we had a factory, one of our factories in Canada where a similar demand was made, and we cannot afford that. So, we had altogether seven weeks strike and five weeks of that hit the quarter. So, if it wouldn't have been for that, we would have had a double-digit growth in the whole rest of the world segment. So, we couldn't deliver. So, now our challenge in North America is that we need to work down delivery times because we lost capacity on that. And that was not five weeks production in the whole business. It was one factory and one of the smaller ones. So, that's what happened. So, it wasn't maintenance at all. It was a strike.

A

Yves Bromehead

Analyst, Société Générale

Okay. And maybe just going back on the hedging. So, just so I understand correctly, this year you had only hedges in H2 for about 50%, but in H1 you were not hedged of 2023. Is that correct?

Q

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

We had these direct operator contracts from France and Norway and the other country running from the beginning of the year. So, that was on electricity. And in other markets, we didn't hedge on electricity for the first half, we only did for the second half. But on gas, we had a hedge approximately also 50% running also in H1. But we did a renewal of that in the middle of the year for H2.

A

Yves Bromehead

Analyst, Société Générale

Okay. And just to confirm for next year on gas specifically, I understand what you said on coking coal, but on gas and coking coal, it's until Q1, not Q2.

Q

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Until Q1 only.

A

Yves Bromehead

Analyst, Société Générale

Q

Okay. And are you looking to roll out your hedging strategy that you've put in place for almost the first time in 2023 for 2024 or are you considering...

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

We are...

Yves Bromehead

Analyst, Société Générale

...being spot for 2024?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

We are evaluating that on a regular basis. So, we don't have a fixed formula, but we simply sit down and take a look at the market dynamics in the energy market. And then, we decide that almost quarter by quarter what to do.

Yves Bromehead

Analyst, Société Générale

Okay. And last one on costs. On the coking coal, obviously, as it was said previously, this is increasing now, but the shipping costs are also increasing quite fast at the minute on certain Baltic Dry Indexes. How relevant are those logistic costs in the terms of what you buy forward one quarter on foundry coke?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

They are not significant. So, all of our foundry coke suppliers in Europe are European-based. And many of them – we have five major sort of suppliers. So they are quite regionally spread out, so logistic cost is not normally a big issue.

Yves Bromehead

Analyst, Société Générale

But your suppliers import from Australia? No?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

No, no. They have quarries in Europe.

Yves Bromehead

Analyst, Société Générale

Okay. Interesting. Thank you.

Operator: The next question comes from the line of Claus Almer with Nordea. Please go ahead.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Thank you. Also, a few questions from my side. I will do them one-by-one. So, Kim, sorry about coming back to this energy cost, but is it a little bit difficult to figure out what is the net effect both for Q4 and let's say, 2024, giving what you see at the moment? So will energy costs in Q4 be up or down? And the same question goes for next year. That will be the first.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Our energy spend for Q4 will, more or less, be unchanged at the price level as Q3.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. And then based on sourcing and your contracts next year, how does that look like?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

And Q1 will be quite similar to Q3. So there hasn't been a lot of dramatic move in the forward-buying cost the last few quarters. But if you go...

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

So that also – I'm sorry.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

But if you go much further than just a quarter ahead, then the premium starts to become a bit more expensive, and that's what we – we do not entertain that. Yeah.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Oh, but that's if you're going to hedge?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Yeah, yeah, yeah.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

So, just meaning if you don't hedge and just do the spot...

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

A

Yeah.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

...then next year looks to be a flattish year-over-year. Is that the way to think about it?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

That I do not know. I cannot foresee how the energy costs develop. I'm just telling you that we have only covered Q1, then we just had to maneuver that quarter-by-quarter.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Oh, yeah. Sorry. But Kim, I mean, if things are unchanged, as it is today, rest of 2024. So throughout 2024, we will see the same levels as we see today.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Yeah.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Will there then be any impact?

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Then there will – because the energy cost have gone down slightly this year. So of course, if it continues at the present level, at least at the beginning of the year, there will be a small benefit.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Okay, thanks. Then my second question goes to the margins. I know, Jens, you mentioned that you told, I guess, the unions in Canada, you could not afford a price hike in the hourly rates, but in the same time, you're running at the best EBIT margin since 2007. So it seems like you could afford a slightly higher hourly rate?

And if I just may add – and then second, last year, when you were discussing with your customers when you're introducing new price hikes, then a important argument was that they could see ROCKWOOL also facing a lot of headwinds. But I guess looking at your numbers, that's not the case anymore.

So more about – both on the salary, but also on your negotiations with your customers, how much under pressure are you to pass through some of these margins?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

I think – let's say, to US case, I mean the ask from our employees in this factory in Canada was inspired by the autoworkers and that was a massive, massive, massive number. I mean that would have been a big problem for the factory, yeah. So we have made an agreement that increases the salaries over three years and that's what we see in the US.

We see US becoming, compared to the rest of the world, a very expensive place to manufacture. But, okay, it's local for local, needs to be translated into pricing. So that happened, but the first ask was so big that we couldn't take it in the business, and that factory would have been – it would have been noncompetitive even with an increased price level. So that was the case there and there is a settlement.

Then you look at where does the EBIT come from? What the story doesn't say is that, for example, last year, we were extremely challenged in North America. We started up a factory. It cost us a lot of money. We have had ongoing big challenge to get our Mississippi factory up and running in the south, hasn't performed. We have been losing money on it.

So a lot of the improvements here that you see, for example, in North America is a big, big improvement. But a lot of that is because we have run the operations better and gotten our arms around production. We have managed to shift over some business to the new factory. That one is running, and we're making money in all factories.

And that's not just a pricing. So this – that we have better margin is now is, for example, that we never been so successful in the US. And when we then look at salary increase in this that, yes, if we improved the business or almost double the profitability in the US because we don't lose money in a factory that doesn't run, that has nothing to do with the price and the cost here.

If you then look at the discussion with customers here, there are different segments. There are distributors that don't mind that prices go up 1%, 2%, 3%. And there are other, of course, at the end level that are house construction companies that are under lot of pressure because they sit between a contract and there is probably also from building material, an impact on demand.

And there, we just need to have a mature dialogue with them and discuss it, and it is the normal discussion where we – but it's not that what we earn more in the US impact how we price in Europe. That does not how we link it and it's not a cost to cost.

And yes, we have lowered a lot of prices where we have to. For example, we got a big order now, the Northvolt project in Germany, 300,000-square meter roof and 80,000 square meters of walls. That project we got. It was quite a tough competition to get it and we got it. We get it at a higher price than competition because we have just-in-time deliveries. We can execute that well. But there are also tough pricing discussions, but that's just normal in the business and happens all the time. But the inflation is there and the energy price level is still high compared to what it was a few years.

But the good margin in Q3 is not only because of Europe; there's very good performance in Asia and North America.

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. That does make sense. If I just may get a follow-up on a comment Jens made earlier on who knows what competitors will do if volumes will continue to decline. I'm just curious, do you think that you have certain number of competitors where volumes are starting to get to a more, let's call it, critical point or level in their factories? So if it continues to decline, then it will really hurt the profitability and efficiency of the factories or was there more a general comment there?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. I mean with the type of declines, we have seen in Germany about 30%, 40% down on new building starts and they're running out of backlog in the housing sector. We are used to always having some competitors that miss a project because the smaller you are, the less stability you have because of the low or large numbers. You're either overfull or empty. A project can determine.

And a lot of our competitors are only active in the heavy segment. We also have the light more distribution business. So we do both distribution and projects. And our project portion is probably smaller than many of the smaller ones. So we see this all the time. But there are also – I think when you look at some of these big projects we have secured, we have gotten several projects this year around 300,000 square meters. That also matters that you control the product after a builder. It's not credible because they also need to trust that you're going to be there and deliver all of that.

So, we see the whole spectra. But this – of course, if the market from this level takes another 5%, 10% dip next year, then we get into a very serious situation for European construction. And I just haven't lived through that in this industry.

I saw what happened 2007, 2008. The volume drop this year has been same magnitude, right? And we have managed it. But what happens if there is another drop of 10%? We will do our best in that situation and let's hope it doesn't happen. But I have never lived it, so I need to kind of – we need to navigate that and take it on. But our spirit would be in an inflationary environment that when it's on this level, you cannot stay sustainable trying to fight for extreme volumes and solve the problem, and the fundamental issue is that there is inflation still there.

.....

Claus Almer

Analyst, Nordea Bank Abp (Denmark)

Q

Okay. That makes a lot of sense and thank you so much, Kim, Jens. Yeah. Well done so far in a very difficult year.

.....

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Thank you. Thank you, Claus.

.....

Operator: The next question comes from the line of Yassine Touahri with On Field Research (sic) [On Field Investment Research]. Please go ahead.

.....

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

Yes, good morning. A few question. Firstly, on the pricing dynamics and the competition. When you look at what happened in 2009, 2010, we saw some pricing pressure. As you said, the volume decline is similar today, but pricing is holding. What has changed? Is it because there is more consolidation? Is it because you've got [indiscernible] (00:58:46) effects now from your sales that are a big part of the market? Is a realization that you need to really focus on pricing? That would be my first question.

The second question is we see a lot of your competitor focusing on solution, like not only selling mineral wool or insulation, but selling insulation combined with accessories, insulation combined with plasterboard or with roofing membrane.

And to shift away from the discussion about commodity insulation and to look at selling a system and solving the problems of the clients. Where do you stand on that? Where do you see ROCKWOOL moving in the next 5 to 10 years? Could you add some other accessories, some other complementary products?

And then my third question is on the nonresidential activity. So what we've seen this year is we've seen a big drop in housing, but nonresidential is holding a little bit better. But do you feel or is the issue is that nonresidential could be a bit more difficult next year in a context where some of the projects that were built this year are not renewed?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Okay. Yassine, you remind me of the questions. I have the area on the price. We have the solution. And then you have nonresidential, right? Yassine, yeah?

Yeah. So on the pricing, 2009, 2010, I wasn't here. I worked in distribution in other industries. I can only say what we did in this company. When I came here, there wasn't pricing structures. There wasn't pricing drumbeat. There weren't clear rules. There weren't clear gaps between the biggest customer and the smaller.

So from day one, we started to work through and have a structured approach to pricing, and we are very, very disciplined today in how we do pricing and how often we do price changes and how the contracts looks, the bonus schemes, and all the rest.

So, I can at least say – and I don't know what has changed with the other companies, but in our company, between 2009 and 2010, there was a belief that you had to choose between price and volume, and that was the choice you had. And I don't believe in that and I don't believe that stone wool is a commodity. I don't believe that. I think you can have a high-quality product and that you can have a premium as the market leader.

And the other thing compared to 2009, 2010 is that if you look from 2014 to, say, 2022, the last semi-normal year, full year – 2023 is not done yet – we have more or less grown the company from, what, €2.2 billion to now €3.6 billion, €3.7 billion, a bit more last year.

Without added head count, we have lift productivity, improved competitiveness. So, it's not that all the improvement in margin comes from prices, big effort in cost reduction and productivity improvements, and we need to continue that. So, it's not only price, people – some customers say it's only price. But when you look at the productivity, we do 40%, 50% more per employee today than we did eight, nine years back. So that is a factor.

Then we go into solutions, and I have in previous businesses – and it's many years now because I've been here a long time, but I've been in solutions, I've been in products, I've been in services, I've been in software, I've been in these different businesses. And I think solutions is a word that people use in a very sloppy way, because no one ever bothers to define it. They say solution and solution sounds complicated, so we earn money.

My observation is if you want to do solutions where you take a system guarantee and you coordinate a lot of things and you end up with a performance guarantee for the combination of – and the work to put the different pieces together, I think you need to be incredibly skilled to earn money consistently. It's one thing to earn money one or two years, but if you look – the bigger the projects under solutions get if you have a system guarantee, the more the risk that you blow the whole equity in one year or one solution doesn't work.

So, when it comes to solution, now we stay very close to the core of the stone wool, the volcano, and we specialize in that. That has been our strategy. But I think solutions can be good thing if you have a collection of products that fit together.

Like we do, [ph] first would be (01:04:18) HVAC in Germany, we have the hangers, the clips. That's fine. But we will, as a company, not be super keen to believe that we can be super good at doing kind of more turnkey or system guarantee products, where we combine everything and that that will have -then we'd rather stay very close to have all the small products really productified, but yes, they can fit into the same application. So that's where I stand on that.

Then on nonresidential, I think that there are some sectors, like in the US, we see the nearshoring of manufacturer and the manufacturing sector – I mean, big boxes to put factories or whatever, growing with 20%. We might seen some of that in Europe, but I think you're going to see more project delays if the recession deepens. So, it's back to that. And it may be not fair to put all of that on Germany, but it's more the underlying – the economic cycle. If Germany goes into deep recession and the others follow, then I think the nonresidential segment will be more threatened, because I see more nearshoring going on in the US than I see here in Europe. Okay.

Yassine Touahri

Analyst, On Field Investment Research LLP

Q

And I think my question on nonresidential was more about the length of the project. Usually, it takes like 18 months to build a factory or offices. And my concern is that maybe in 2023, you were working on nonresidential projects that were started before the jump in interest cost and the jump in construction costs. Is there a risk that we see a number of slowdown because there is no new order in activity because interest rates are too high and construction costs are too high, and that we could see the bulk of the decline in nonresidential next year? That's my question.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. [ph] Am I (01:06:19) pessimistic, without doing an outlook, is that I think maybe the market next year has some potential to get worse, but that's not what I've seen now. And I stay on the pessimistic side, but in theory, we need to do a deeper analysis of the product. But remember, not all of our business is project business. That's one portion of it. So, if renovation were to start a little bit, that would quickly override that business. So, I cannot comment whether that will be up or down, but potential is there for sure.

We are running out of time, right?

A

Two more.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

We have two more. I understand if some people have to leave, but we have two more people with questions. We will take those. So, try to keep it a bit brief and I try to be a bit quicker.

Operator: The next question comes from the line of Casper Blom with Danske Bank. Please go ahead.

Casper Blom

Analyst, Danske Bank A/S

Q

Thanks a lot. Yeah, of course, a lot of questions have been raised already. But, Jens, I was just hoping if you can give an update to your position on your Russian business. A week or two ago, you were put on this list being called a war sponsor and I don't want to go into a discussion of whether or not that's right or wrong, but merely if you could elaborate a little bit on potential commercial impact that could have had on your business. I notice on one of the slides, you highlighted Ukraine actually as a good market for you here in Q3. Is there a risk of this having a commercial impact on you? Thank you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

Yeah. So, so far, we haven't had the commercial impact on any of this. And if you go back to the Russian situation, there have been some examples here in Denmark where leaving or staying, the alternative doesn't really exist of leaving anymore. But we have been clear, protect our IP, keep control of our factories, even as a passive ownership, and receive our normal dividends rather than leaving four to five times more behind.

So, that strategy stays, and I hope you realize that we are quite convinced that we are willing to take quite a lot of criticism doing what we believe is the right thing to do rather than taking an easy decision and do what we believe is the wrong thing to hand over all assets and leave more money and our IP and know-how and all the expertise we have built up, these very good factories in Russia. So, we are very committed to that, and we take it.

Then if we look into that situation, I saw now that just today another big building material company came on the list today. They are listing a lot of places and this one – Ukraine, yes, we are growing. We are growing and we have a humanitarian effort there. We would like to continue that in Ukraine. This list doesn't have a legal implication, but something could happen in Ukraine.

So, we have asked those questions to that NACP department there. So, we have asked the questions, but obviously it's all fresh. We need to see what happens, whether we'll be allowed to continue with the humanitarian effort. We have been told that the business can continue, but again we need to check it. We haven't seen any signs.

But I should say that, so far, we have not seen an impact. And then a lot of this discussion has been a Danish one. It has been here in Denmark. We haven't seen anything outside Denmark. So at the moment, I don't want to sound overconfident. I also said that we do the best of the situation, and that's where we are, but we haven't seen an impact. And I think the quarter, again, maybe underlines that the business is running quite well.

Casper Blom

Analyst, Danske Bank A/S

Q

Okay. Thanks for that update. My second question is just maybe if you could elaborate a little bit on the European situation right now. We see that markets are tough in Northern and Eastern Europe, in general, and better in Southern Europe or at least more resilient. Do you see a risk of the issues in the North spreading towards the South?

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

A

I think you heard that I talked about France, Great Britain, Spain. And then if you move east, Romania, Croatia doing quite well. And then the Nordics and Germany, and then east where the big Eastern European countries do invest.

So I think it comes down to this general very negative sentiment with the PMI around 40 in Germany, where there are our old rule. And I don't know if it's true, but if you read The Economist, they will say if Germany stops, Europe will stop eventually.

Is that the case? That's as much intelligence I have to that. Leave it out there as a risk. And you are right, Southern Europe is doing better, the [ph] Med (01:11:53) is doing better. That's what we see. The further North you come, the worse it is the further East you come. On average, it's getting worse. Okay.

Casper Blom

Analyst, Danske Bank A/S

Okay. Thanks a lot. And just to repeat Claus, well done so far. Quite impressive.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Thanks a lot. Thanks. Last questions.

Operator: The last question for today comes from the line of Zaim Beekawa with JPMorgan. Please go ahead.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

Morning, and thanks for taking my question. Just coming back to pricing, you mentioned safeguarding market share in the press release. What needs to happen in order for you to think about price decreases?

And then, secondly, I appreciate the more pessimistic view on Europe for next year. Can you talk a bit more about your early expectations on North America, please? Thank you.

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Oh, sorry, sorry. I went offline here. So Zaim, we have reduced prices in some segments, and we have increased them in other segments. So it's the whole collection. We have many, many applications and so it's a mix of things.

I would say the neck – you see the total that has been relatively stable, but there are quite a few segments when the price is down a bit and there are some segment up. So it's an active price management across the different application and countries.

So for example, if you look at that big order I mentioned, the price level of that order is lower than it was if we would have – try to take that two years back. But we have a different situation. So there has been some of that.

Prices on projects in Poland are down, okay. They are down. In flat roof business, slower pricing; other segments not. So, it's a mix.

Then we go to the sentiments for Europe. We cover that. For the US and Canada at the moment, the only fear we would have in the US at the moment is this whole debt story, something happens, the whole place is crashed and that's it.

But we haven't seen any of that. We saw the dip that took out inventory, and then we have had a very good business. Our challenge now is actually to work back the delivery time because due to the strike, we have too long delivery times. So we see the opposite.

So at the moment, our outlook for next year is a single-digit growth in North America or something like that, and that's the best assumption. And we don't see anything apart from some macro story come in again and change it overnight. And that could happen, but it's not in our plan. Okay.

Zaim Beekawa

Analyst, JPMorgan Securities Plc

All right. Thank you.

Q

Jens Birgersson

President & Chief Executive Officer, ROCKWOOL A/S

Okay. Thank you, Zaim.

A

Operator: Ladies and gentlemen, this concludes the Q&A session. I hand back to the host for any closing comments.

Kim Junge Andersen

Senior Vice President & Chief Financial Officer, ROCKWOOL A/S

Thank you very much and thank you very much, everybody, for the very good and interesting questions. I know there were a few of you who are still on the question list. Of course, you're welcome to give me a call afterwards.

And with this, we close the session for today and wish you a pleasant day.

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